

“Oh, that’s what they meant.” It seems really obvious. But before you experience it and learn it, it’s hard to understand.

What was the next step in your journey to becoming a trader after reading *Reminiscences*?

I went to Cambridge to study economics. I knew I wanted to study economics from the age of 12, well before my interest in markets. I wanted to do it because I loved economics, not because I thought that was a pathway to the markets. Too many people do things for other reasons.

What did you learn in college about economics that was important?

I was very lucky that I went to college when I did. If I went now, I think I would be really disappointed because the way economics is currently taught is terrible.

Tell me what you mean by that.

When I went to university, economics was taught more like philosophy than engineering. Since then, economics has become all about mathematical rigor and modeling. The thing about mathematical modeling is that in order to make problems tractable, you need to make assumptions. Assumptions then become axiomatic for the entire subject—not because they are true, but because they are necessary to get a solution. So, it is easier to assume efficient markets because without that assumption, you can’t do the math. The problem is that markets aren’t efficient, but that fact is just conveniently ignored.

And the mathematical models can’t include the unpredictable impact of speculators, either.

That’s right. Because once you introduce them, you have a mathematical model that can’t be solved. In the current world of economics, mathematical rigor is valued above all else. It’s the only way you will get your PhD; it’s the only way you will get a career in academia; it’s the only way you will get tenure. As a consequence, anyone I would call an economist has been moved out of the economics department and into history, political science, or sociology. The mathematization of